

DECODING CUSTOMER VALUE

A SQL-Driven Retention Strategy | Executive Summary

3,900 Customers

D2C Fashion Brand

Core Question: Is the brand building a loyal customer base, or is it reliant on continuous promotional activity?

Answer: The brand is heavily promotion-dependent, but a genuine loyal base exists and can be grown.

42.7% Revenue Promo-Driven \$99,411 of \$233,081	16.1% Genuinely Loyal 627 of 3,900 customers	43.0% Discount Hunters 1,677 customers	57.3% Organic Revenue \$133,670 baseline
---	---	---	---

KEY FINDINGS

01 Promos don't build loyalty 100% of loyal customers have zero promo dependency — not one exception. The brand is spending discount budget on customers who would buy anyway. 02 Discounting is a brand-wide habit Even Premium tier customers show 42% promo dependency — identical to Low tier. Discounting has trained every segment to expect deals.	03 Most valuable segment is untargeted Boomers (55+) are the largest segment (1,178 customers) and highest spenders. The brand is reaching them by accident, not by design. 04 Geographic opportunity is untapped Arizona (promo dependency 0.34), Tennessee (loyalty rate 26%), and Alaska (avg spend \$67.60) show strong organic demand not deliberately targeted.
---	---

STRATEGIC RECOMMENDATIONS

#	Recommendation	Metric to Track
1	Sunset discounts for loyal + neutral buyers They buy without incentives — stop training them to wait for deals	% revenue without promo codes
2	Target organic markets: Arizona, Tennessee, Alaska Redirect discount budget to acquisition in high-loyalty, low-promo states	Loyalty rate growth by state
3	Build a deliberate Boomer marketing strategy Focus on Clothing, Spring/Fall seasons, Cash/Credit Card payment targeting	Revenue share from 55+ segment
4	Pilot discount removal in Fall season first Highest organic revenue + lowest promo dependency — safest season to reduce discounts	Fall revenue vs prior year

IDEAL CUSTOMER PROFILE

Age Group Boomer 55+	Top Category Clothing	Best Seasons Spring & Fall	Payment Cash / Credit Card	Promo Dependency 0.00 — Never
-------------------------	--------------------------	-------------------------------	-------------------------------	----------------------------------

EXPECTED IMPACT

Converting just 20% of 1,596 neutral buyers into loyal customers adds ~319 high-tenure customers — reducing promo revenue dependency from 42.7% without losing sales volume.